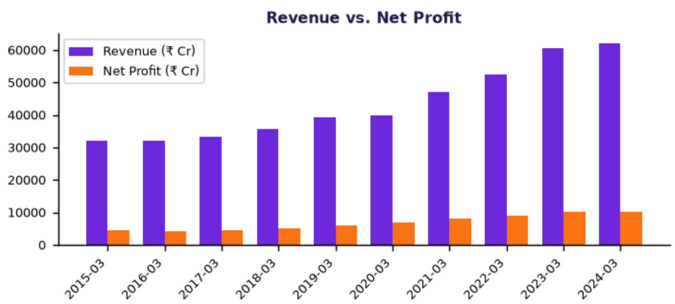
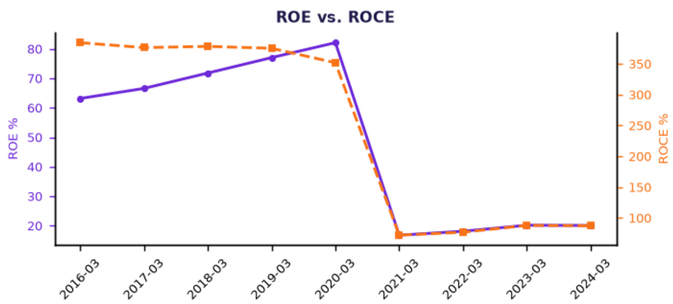
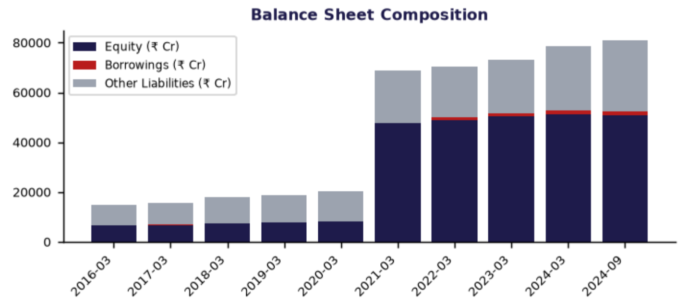
Hindustan Unilever Ltd

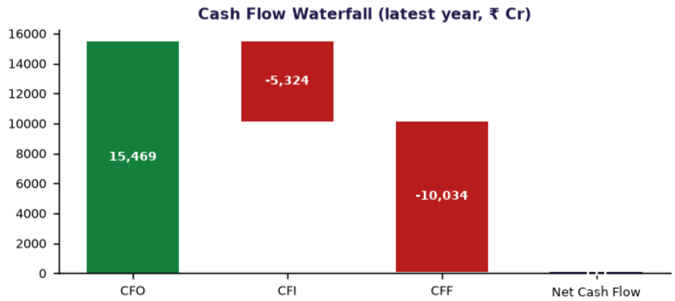
HINDUNILVR · Consumer Staples / FMCG

ROE **20.07%**	ROCE **87.37%**	Net Profit Margin **16.61%**
D/E **0.03**	Revenue CAGR 5yr **9.50%**	FCF (Rs. Cr) **10,145**









Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
✓ Consistent dividend yield above 2% backed by positive free cash flow (91% confidence)
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (67% confidence)

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (60% confidence)

Capital Allocation Pattern: **Shareholder Returns**